

Australian Business Conditions and Confidence, April

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#confidence



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14:20 May 12 2026

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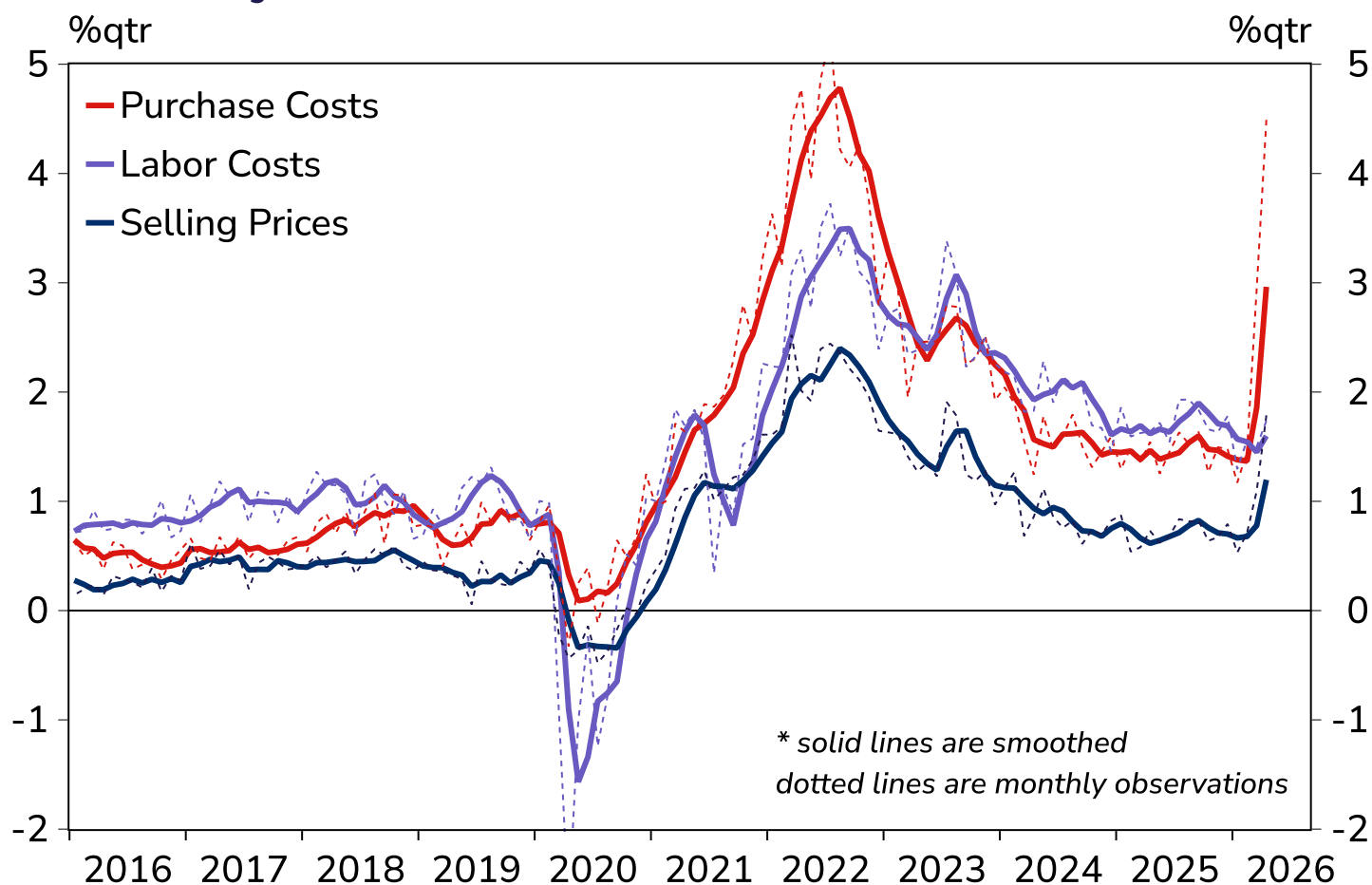
Business conditions weakened in April, reflecting earlier pessimism, while confidence remains deeply negative. Conditions -3pts to 3 / Confidence +5pts to -24.



The April NAB Business Survey was in the field from 23 to 30 April, providing an early read on business conditions and confidence heading into the final quarter of FY26. Of note, businesses reported a further intensification in cost pressures. Purchase cost growth matched the record increase seen last

month, rising a further 1.5ppt. The back-to-back gains saw the quarterly pace lift to 4.5%qtr, the strongest since July 2022, placing it 3.3ppt above its long-run average. Final product price growth also accelerated, rising 0.7ppt to 1.8%qtr – its sharpest increase since July 2022 – suggesting firms are beginning to pass through a broader share of higher input costs to final prices. This points to a material upside risk to near-term inflation as we have flagged recently. Labour cost growth rose modestly by 0.2ppt to 1.7%qtr.

NAB Survey: Costs and Prices



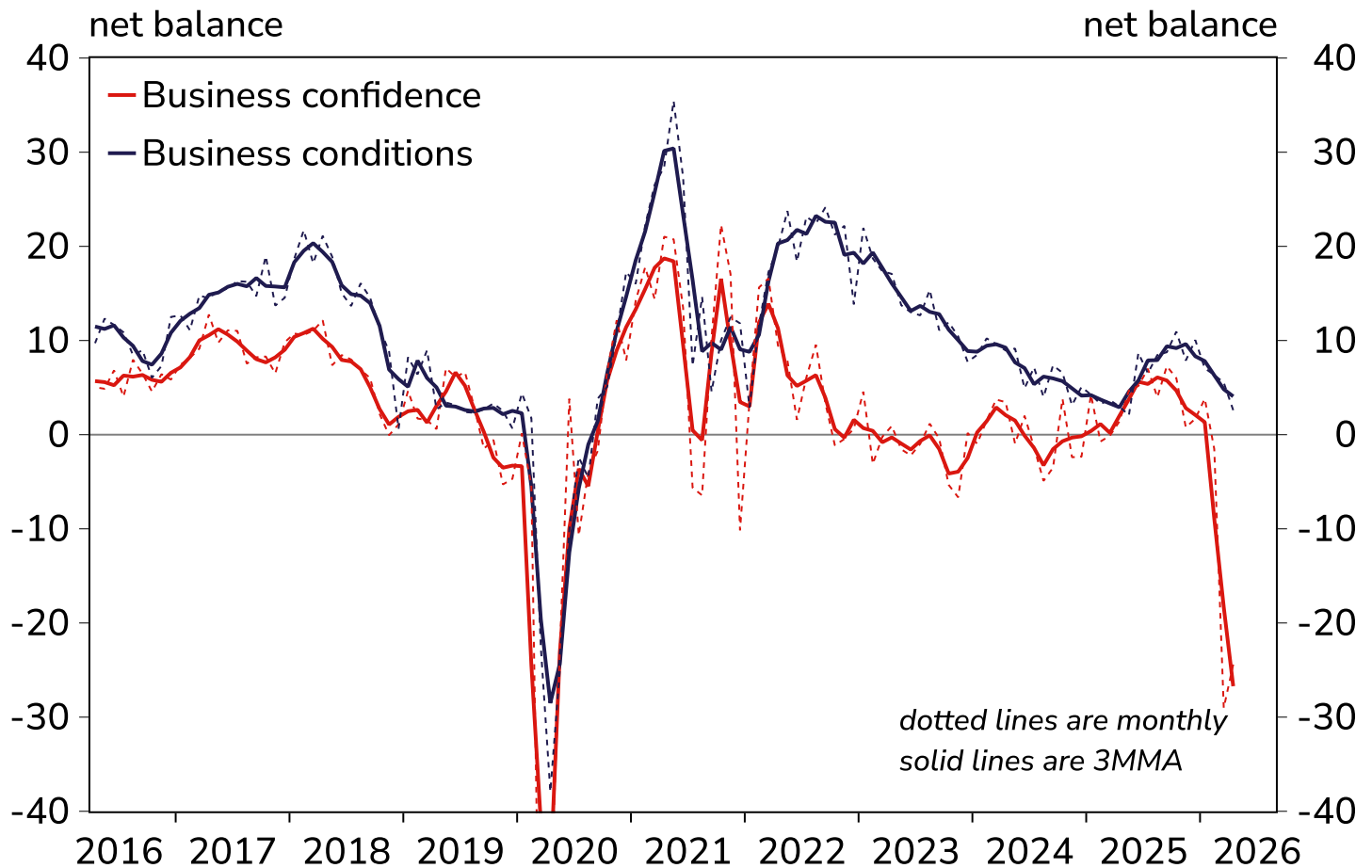
Source: NAB, ABS, Macrobond, Westpac Economics

The headline business conditions index declined in April, falling –3pts to 3, marking a clear step down from the stability observed in recent months. Conditions are now 4pts below their long-run average and well down from the high of 11 recorded in October last year. On a three-month average basis, conditions have continued to trend lower through 2026, reinforcing the view that momentum has been easing.

Across the major sub-components, trading conditions recorded a notable decline, falling –4pts to 7, and is now 5pts below their long-run average. This likely reflects a further softening in consumer demand, consistent with Westpac Card Tracker data which suggests that outside of fuel and electricity, momentum in consumer spending is stalling. Combined with elevated cost pressures, firms appear to be responding by adjusting their cost base. The employment sub-index fell sharply, down –5pts to 1, moving below its long-run average and pointing to a preliminary softening in hiring intentions. Profitability remained subdued, holding at 0, as rising costs and weaker trading conditions continue to compress margins.

Capacity utilisation declined to 82.5% in April, reinforcing signs of softer conditions. Against the backdrop of margin squeeze and monetary tightening, capital expenditure fell sharply (–8pts to 4) to sit 3pts below its long-run average, suggesting Australian businesses are not investing with the same degree of confidence as last year.

Business conditions and confidence

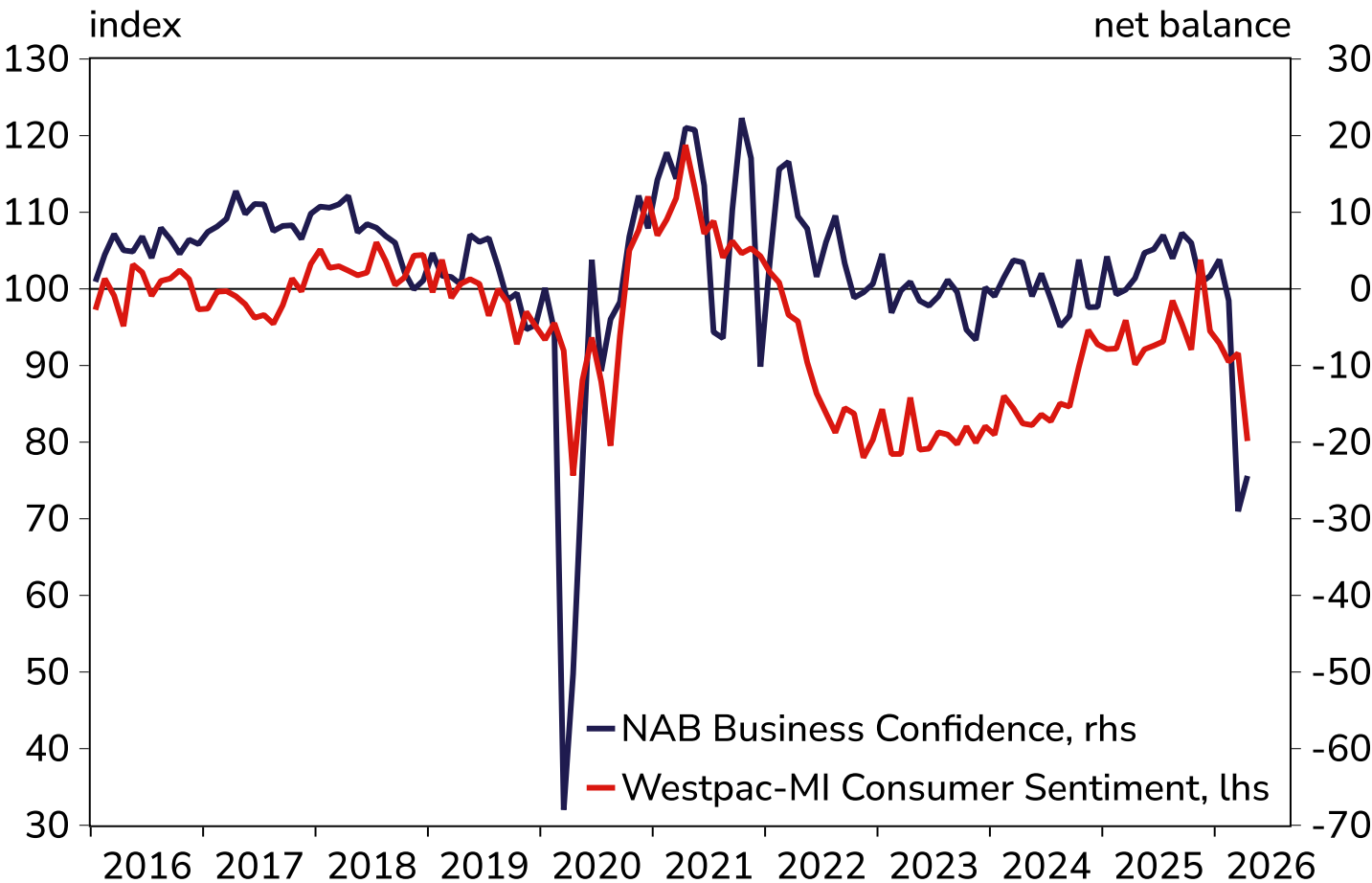


Source: NAB, Macrobond, Westpac Economics

Indeed, the headline business confidence measure remained deeply pessimistic in April, the 5pt lift to –24 doing little to offset the staggering collapse in March, leaving it still 29pts below its long-run average. Meanwhile, the Westpac-MI Consumer Sentiment survey deteriorated further in May, highlighting the shared anxiety over the near-term economic outlook. Monthly reads will likely remain a bit volatile going forward – touch-and-go developments out of the Middle East, another interest rate rise in May, and an upcoming Federal Budget will all feed into business' views about the outlook.

Among other indicators, forward orders weakened further, falling –4pts to –5, consistent with softer demand. Inventories declined by –3pts to 4, likely reflecting weaker forward orders and reduced restocking needs amid slowing activity.

Consumer vs Business Confidence



Source: NAB, Westpac-MI, Macrobond

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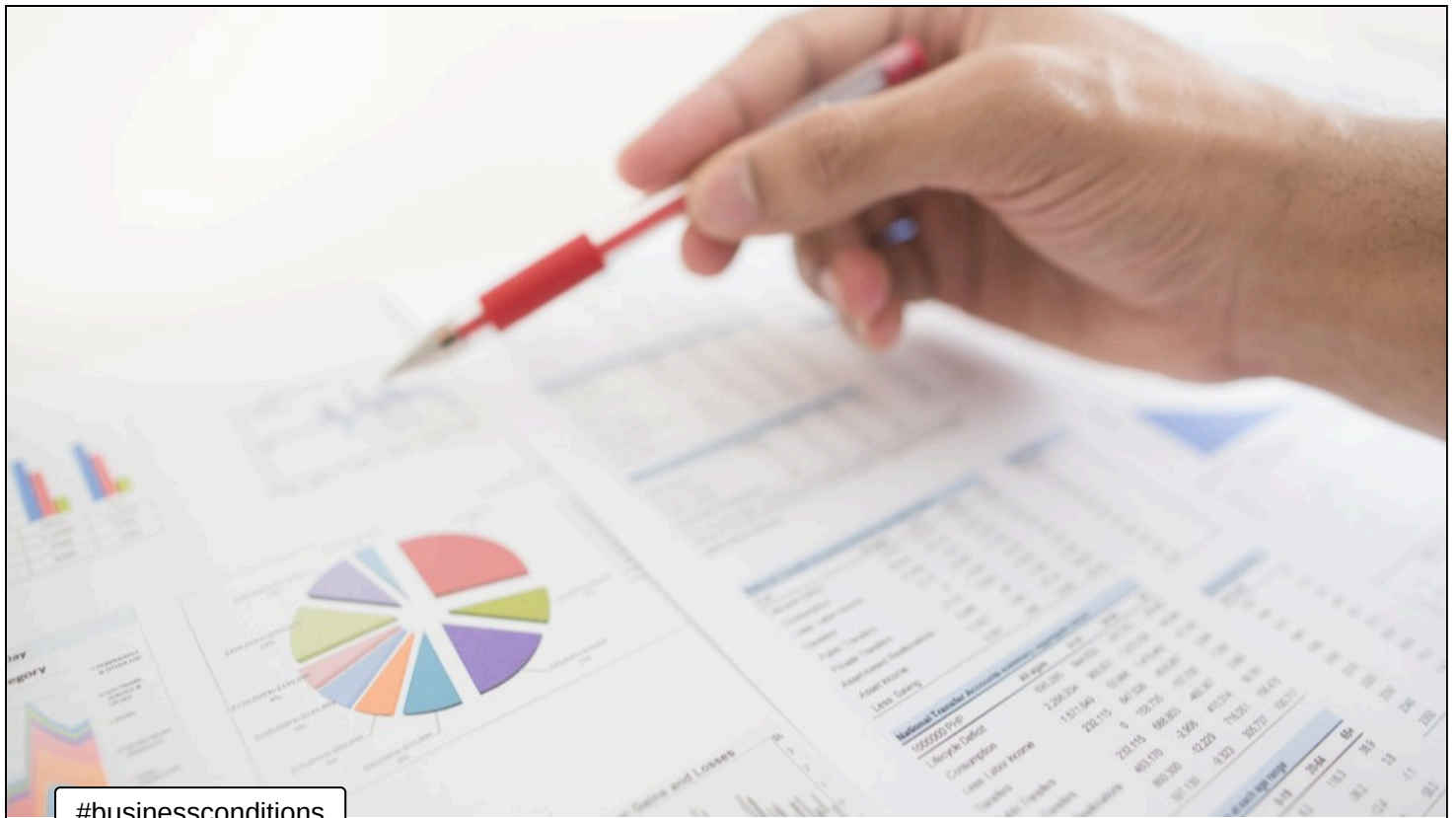


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